

FEDERAL MARITIME COMMISSION

IAN MILLS,

Claimant,

v.

CROWLEY LOGISTICS, INC.

Respondent.

DOCKET NO. 1995(F)

**RESPONDENT CROWLEY LOGISTICS, INC.’S
REPLY TO CLAIMANT’S RESPONSE TO
ORDER REGARDING COMPLETION OF THE EVIDENTIARY RECORD**

Respondent Crowley Logistics, Inc. (“Crowley”) provides this reply to Claimant’s Response to Order Regarding Completion of the Evidentiary Record, stating as follows:

- I. Claimant fails to provide testimony from anyone with personal knowledge to support his claim that the generator was collected by Crowley’s driver; the evidence overwhelmingly supports that the driver and Crowley never received the generator.**

Claimant’s case rises and falls on a single document—Attachment 2 to Claimant’s July 18, 2023 opposition to Crowley’s motion to dismiss (the “Gold Coast Interchange Form”).¹ Given Claimant’s reliance on this solitary document, the Honorable Alex M. Chintella, Administrative Law Judge (“ALJ”) understandably required Claimant to: “Provide a statement from the supplier of the clip-on generator, in support of the assertion that ‘the President of the supplier (MyshippingContainers.com) also verbally confirmed to the Claimant that the generator was collected by the Respondent’s truck driver that day.’” Order Regarding Completion of the Evidentiary Record, ¶ J.

¹ This document is also included within Crowley’s document production in response to the Order Regarding Completion of the Evidentiary Record. *See, e.g.*, RX-061.

In response to the ALJ’s Order, Claimant provided a letter from Brandon Mason. However, Mr. Mason’s letter makes clear that he has no knowledge of whether Crowley’s driver in fact received the generator. Rather, Mr. Mason’s assertion that Crowley received the generator is entirely based on the Gold Coast Interchange Form, stating that the “interchange sheet ... confirms when the container with the clip on generator was released and picked up,” and that Mr. Mason “received [Gold Coast’s] interchange document that the container and generator was successfully collected.” *See* Claimant’s Supplementary Evidence at CX-4. Notably absent from Mr. Mason’s letter is any statement that he witnessed Crowley’s driver collect the generator or otherwise has any actual knowledge that Crowley’s driver received this generator. All Mr. Mason did was read the Gold Coast Interchange Form (a document issued by a different company, not Mr. Mason’s company) and base his belief on this document. But the ALJ does not need Mr. Mason to read the Gold Coast Interchange Form for him. This was Claimant’s opportunity to provide testimony that “the generator was collected by the Respondent’s truck driver that day” (necessarily based on actual knowledge), but Claimant and Mr. Mason have failed to do that. Accordingly, Mr. Mason’s letter offers nothing to support Claimant’s position, and Claimant has failed to marshal any additional evidence that Crowley received the generator.

In contrast, though, the documentary evidence in this case, including the evidence provided by Crowley in its May 24, 2024, submission, overwhelmingly supports that Crowley never received the generator. As explained in Crowley’s Response to Order Regarding Completion of the Evidentiary Record, in response to Request B, Crowley’s equipment interchange receipts demonstrate that Crowley only received a reefer container—which was picked up and taken to Crowley’s warehouse that only handled dry goods, for the container to be loaded with 98 packages of dry product—and no generator.

RX-152 shows the movement of a chassis CMCZ 144768 on November 19, 2021 from Crowley Port Everglades to Gold Coast's facility. RX-158 then shows the movement of an empty container # 8026433 and chassis CMCZ 144768 from Gold Coast to Crowley's dry warehouse also on November 19, 2021. RX-153 shows the movement of container # 8026433 from Crowley's dry warehouse to King Ocean at Port Everglades on November 23, 2021. RX-154 demonstrates the receipt by King Ocean of the reefer container # 8026433 to be shipped to Bridgetown. And RX-156 then shows the movement of a chassis 144768 from King Ocean (Port Everglades) to Crowley (Port Everglades) also on November 23, 2021. None of these interchange documents ever reference a generator.

Crowley's Transportation Management system further supports this, recording the movement of the chassis and container and making no reference to any generator:

PEV-Crowley - Pickup bare chassis CMCZ 144768 and go to Gold Coast																		
5499480	HMT	PEVT1	PEVT1	4300 MCINTOSH RD	PORT EVERGLADE	UNKNOWN	UNKNOWN	11/19/21 11:00	A	11/19/21 11:00	A	SHPU.8026433	11/19/21 11:00	11/19/21 11:00	PLRAG	UNKNOWN	UNKNOWN	CROWLEY 40 CHASSIS
5499480	DMT	PEVT3	GOLD COAST	13850 NW 105TH AVE	HALEAH, FL	UNKNOWN	UNKNOWN	11/19/21 11:45	A	11/19/21 11:45	A	SHPU.8026433	11/19/21 11:45	11/19/21 11:45	PLRAG	UNKNOWN	UNKNOWN	
Gold Coast - Pickup empty Unit # 8026433 and drop at Crowley WHS																		
5477523	HMT	PEVT3	GOLD COAST	13850 NW 105TH AVE	HALEAH, FL	UNKNOWN	UNKNOWN	11/19/21 12:00	A	11/19/21 12:00	A	SHPU.8026433	11/19/21 12:00	11/19/21 12:00	PLRAG	UNKNOWN	UNKNOWN	PAJ UNIT # 8026433
5477523	DMT	MIW2	CROWLEY	LC10205 NW 108TH AVE STE 1	MIAMI, FL	UNKNOWN	UNKNOWN	11/19/21 13:00	A	11/19/21 13:00	A	SHPU.8026433	11/19/21 13:00	11/19/21 13:00	PLRAG	UNKNOWN	UNKNOWN	SPOT 11/1 ASAP
Crowley WHS - Pickup loaded Unit # 8026433 and drop at PEV - King Ocean																		
5477521	HPL	MIW2	CROWLEY	LC10205 NW 108TH AVE STE 1	MIAMI, FL	UNKNOWN	UNKNOWN	11/23/21 09:00	A	11/23/21 09:00	A	SHPU.8026433	11/23/21 09:00	11/23/21 09:00	PLRAG	UNKNOWN	UNKNOWN	PAJ 11/23 ASAP
5477521	DRL	PEVT6	PEVT6	4000 MCINTOSH RD	PORT EVERGLADE	UNKNOWN	UNKNOWN	11/23/21 11:00	A	11/23/21 11:00	A	SHPU.8026433	11/23/21 11:00	11/23/21 11:00	PLRAG	UNKNOWN	UNKNOWN	KO BKG 10825087
PEV-King Ocean - take bare chassis and drop PEV-Crowley																		
5477522	HMT	PEVT6	PEVT6	4000 MCINTOSH RD	PORT EVERGLADE	UNKNOWN	UNKNOWN	11/23/21 11:30	A	11/23/21 11:30	A	CMCZ.144768	11/23/21 11:30	11/23/21 11:30	PLRAG	UNKNOWN	UNKNOWN	CHASSIS
5477522	DMT	PEVT1	PEVT1	4300 MCINTOSH RD	PORT EVERGLADE	UNKNOWN	UNKNOWN	11/23/21 12:30	A	11/23/21 12:30	A	CMCZ.144768	11/23/21 12:30	11/23/21 12:30	PLRAG	UNKNOWN	UNKNOWN	

See Crowley's Response to Order Regarding Completion of the Evidentiary Record at 2. Particularly given the size and prominence of these types of clip-on generators, these documents would have referenced such a generator if it was being transported.

In addition, Claimant's instructions were to pick up a container, load it with dry goods, and ship that to Bridgetown. See RX-003; RX-168–RX-169. Accordingly, Crowley's quote does not reference a generator (RX-004, RX-170), nor does the Bill of Lading (RX-042–RX-045), and thus Claimant did not pay for the transport of a generator. See Crowley's Response to Order Regarding Completion of the Evidentiary Record at 2-3. And even when Claimant sent Invoice # 1714 to

Crowley, he referenced this invoice as “perhaps not needed” and specifically instructed Crowley that the “reefer is ready for collection.” RX-005, RX-171 (emphasis added). Claimant also provided a reefer safety certificate from Gold Coast at that time that did not reference the generator, even though Claimant’s theory is that the generator was a clip-on that was purportedly attached to the reefer container. *See* CX-7; RX-006. Therefore, the great weight of the evidence supports that Crowley did not pick up or receive a generator.

II. Given the evidence presented, the decisions relied upon to deny Crowley’s motion to dismiss the Section 41104(a)(4) claim do not apply, and this claim must be dismissed.

In denying Crowley’s motion to dismiss the Section 41104(a)(4) claim, the ALJ cited to and relied on two prior decisions of the Federal Maritime Commission (the “Commission”). However, in light of the evidentiary record that is now fully presented by Crowley’s and Claimant’s May 24, 2024, submissions, it is clear that those decisions do not support the Claimant here and do not relate to the facts of this controversy, and that Claimant’s Section 41104(a)(4) claim must be dismissed.

First, the ALJ cited *Adair v. Penn-Nordic Lines, Inc.*, Docket No. 1695(F), 1991 WL 383091, at *8-9 (ALJ Sept. 19, 1991), admin. final Oct. 24, 1991. There, the respondents, a freight forwarder and an unlicensed non-vessel operating common carrier (“NVOCC”), agreed to ship a motorcycle, were paid to do so, and a bill of lading was created for the motorcycle. *Id.* at *8-10. However, after receiving the motorcycle, the NVOCC abruptly terminated the shipment due to payment issues with the freight forwarder. *Id.* The motorcycle then sat in a warehouse and the respondents refused to release it to the claimant unless and until he paid storage costs that continued to mount during the respondents’ various delays. *Id.*

The facts here, however, stand in stark contrast. Crowley did not agree to ship a generator, as demonstrated by Mr. Mills’ original instructions, Crowley’s quote, and Crowley’s Bill of

Lading—none of which reference a generator. *See* RX-003–RX-004; RX-042–RX-045; RX-168–RX-170. Indeed, the issuance of the bill of lading for the motorcycle was an important factor in *Adair* (see 1991 WL 383091, at *13), but it is undisputed here that the Bill of Lading does not reference a generator. *See* RX-042–RX-045. And, as a result, Mr. Mills did not pay Crowley to ship a generator, so there is no issue of Crowley improperly retaining money, as there was in *Adair*. *See* Crowley’s Response to Order Regarding Completion of the Evidentiary Record at 2-3. There was also no question in *Adair* that the freight forwarder and NVOCC received the motorcycle—indeed, the NVOCC confirmed that the motorcycle was loaded on board the vessel but was then removed. *See* 1991 WL 383091, at *12. In contrast, here, as discussed above, Crowley’s Bill of Lading, interchange receipts, and transportation management system all support that Crowley never received the generator. *See* Crowley’s Response to Order Regarding Completion of the Evidentiary Record at 2-3.

Furthermore, important in *Adair* was the “*litany* of misconduct” by the respondents, including *intentionally aborting the shipment* when it could have shipped the motorcycle and retained possession at the destination port until payment, *failing to notify* the claimant that they had aborted the shipment, *retaining the motorcycle and refusing to refund* the claimant, and *reneging on a subsequent agreement* to ship and release the motorcycle without payment of storage costs. 1991 WL 383091, at *13-14 (emphasis added). Here, even accepting Claimant’s version of events (which is not supported by the evidence), at most there is an alleged *isolated* incident of Crowley *accidentally* losing a generator. But, similar to how this allegation did not establish “normal, customary, and continuous” acts or omissions to support a Section 41102(c) claim for failing to “establish, observe, and enforce just and reasonable regulations and *practices*” (emphasis added), and as a result the ALJ duly dismissed that claim, this allegation of an isolated

accident does not establish an unfair “practice” to support a Section 41104(a)(4) claim.

Second, the ALJ cited *Symington v. Euro Car Transport, Inc.*, Docket No. 92-47, 1993 WL 113704, at *5 (ALJ Mar. 17, 1993), admin. final Apr. 22, 1993. There, the claimant paid an NVOCC to purchase and ship an automobile, but the NVOCC failed to arrange for payment and shipment of the automobile and then refused to return the claimant’s money despite repeated requests. *See id.* at *4. Moreover, the respondent never filed an answer in that proceeding, entered into a settlement that included an agreement to a confessed judgment upon default, and then defaulted on its settlement payments. *Id.* Accordingly, the Commission found that the respondent had admitted the allegations and that they supported a violation. *Id.* at *4-5. However, in the instant case, not only does Crowley dispute Claimant’s allegations, but the great weight of the evidence supports Crowley. Furthermore, as explained above, as demonstrated by Mr. Mills’ original instructions, Crowley’s quote, and Crowley’s Bill of Lading (RX-003–RX-004; RX-042–RX-045; RX-168–RX-170), Crowley did not agree to ship a generator and Mr. Mills did not pay Crowley to ship a generator. *See* Crowley’s Response to Order Regarding Completion of the Evidentiary Record at 2-3. Rather, unlike the respondent in *Symington* which “took complainant’s money and failed to carry out its obligation” (1993 WL 113704, at *4), Crowley shipped the container and the goods that it was paid to ship (*i.e.*, the goods listed on the Bill of Lading) and thus fully carried out its obligations. Accordingly, *Symington* similarly fails to support Claimant’s Section 41104(a)(4) claim, and Claimant’s claim should be dismissed.

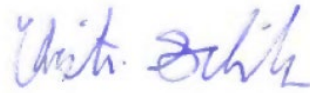
Finally, it is important to note that Claimant received the appropriate treatment and responses to his inquiries based on Crowley’s established processes. As reflected by Crowley’s investigation file (Exhibit 1 to Crowley’s May 24, 2024, submission), Claimant knew and used the applicable cargo claim process, submitted a first report of losses, was notified about the applicable

rules and limitations as stated in the applicable tariff, Crowley performed a fulsome and good faith investigation, and (without prejudice to Crowley nor any admission of liability) Crowley provided Claimant with a fair settlement offer, to which Claimant never responded. Crowley has not acted unfairly or unjustly discriminatorily toward Claimant in any way.

III. Crowley seeks its reasonable attorneys' fees

Pursuant to 46 C.F.R. §§ 502.318(b), 502.321, and 502.254, the prevailing party in this action may recover its reasonable attorney fees. For the reasons explained above, Crowley requests dismissal of the Claimant's Section 41104(a)(4) claim and a fee award (having already prevailed regarding Claimant's Section 41102(c) claim). Crowley intends to file a petition to recover its reasonable attorneys' fees under the authority and procedures set forth in 46 C.F.R. § 502.254.

Respectfully submitted,



Nicholas M. DePalma, Esq.
Christian R. Schreiber, Esq.
VENABLE LLP
1850 Towers Crescent Plaza, Suite 400
Tysons, VA 22182
Tel: 703-760-1600 / Fax: 703-821-8949
NMDePalma@Venable.com
CRSchreiber@Venable.com

Alexander W. Koff, Esq.
VENABLE LLP
600 Massachusetts Ave, NW
Washington, DC 20001
Tel: 410-528-4623 / Fax: 410-244-7742
AKoff@Venable.com

Counsel for Respondent Crowley Logistics, Inc.

Certificate of Service

I hereby certify that I have this day served the foregoing document upon all parties of record in this proceeding by e-mailing a copy to each such person in sufficient time to reach such person on the date the document is due to be filed with the Commission.

Dated at Tysons, Virginia this 7th day of June, 2024.



Nicholas M. DePalma, Esq.
Christian R. Schreiber, Esq.
VENABLE LLP
1850 Towers Crescent Plaza, Suite 400
Tysons, VA 22182
Tel: 703-760-1600
Fax: 703-821-8949
NMDePalma@Venable.com
CRSchreiber@Venable.com

Alexander W. Koff, Esq.
VENABLE LLP
600 Massachusetts Ave, NW
Washington, DC 20001
Tel: 410-528-4623
Fax: 410-244-7742
AKoff@Venable.com

Counsel for Respondent Crowley Logistics, Inc.